

intensely researched a company and its stock. Satyam's low PE multiple was proof that the market did not fully trust its earnings. But analysts and fund managers could never put a finger on what exactly was wrong with the numbers.

A careful study of the cash flows, debtor outstanding, tax payments and operating margins vis-à-vis key competitors does provide an indication of the soundness of the business. But what safeguard can an investor have against a promoter who manages to forge invoices and bank statements, show fake revenues and cash balances, get them certified by a careless or complicit (as may be the case) auditor and, on top of all this, pay real tax on fictitious income? Nothing.

The Satyam episode had investors worried about more such frauds surfacing in the coming days and cast a shadow on the shares of second-line IT companies, which until then were doing fairly well in a turbulent market. If you cannot trust the numbers of a frontline company, how reliable can the numbers of smaller companies be?

The scam also punched a hole in India's claim to having the best corporate governance standards among emerging markets.